

Article | 4 August 2026

GERMANY

Low water levels are new setback for the German economy

Record low water levels in the Rhine could shave 0.3 percentage points off Germany's GDP growth this year



A heatwave in Germany has pushed Rhine water levels to record lows

Some might know that I used to be, and still am, a passionate rower. Rowing on Frankfurt's Main River is not always a pleasure. High water levels and strong currents in winter, combined with commercial river traffic throughout the year, do not make it an ideal place to train. That is, except when water levels are low.

For rowers, low water levels mean calm currents, flat water and very little traffic. Against this backdrop, I have witnessed the effects of climate change during the 12 years I have lived in Frankfurt: fewer periods of high water in winter and longer stretches of flat water in summer. Unfortunately, what has been good for my favourite hobby has become a clear risk for the German economy: low water levels.

Why the Rhine matters for German industry

Yesterday, my colleague Rico Luman [wrote about the impact of low water levels](#) in the Rhine and the consequences for supply chains. For Germany, however, the Rhine is not simply one transport option among many. It is a piece of industrial infrastructure around which much of German industry was physically built.

Roughly 285 million tonnes of freight move along the river annually, making it Europe's most

important logistics corridor after the open seas. It carries about 80% of all goods transported on Germany's inland waterways, while some 600 vessels cross the Dutch-German border every day. The corridor connects Rotterdam directly to three of Germany's largest industrial clusters: Rhine-Ruhr steel, Rhine-Main and the Ludwigshafen chemical complex.

This is no coincidence. The plants were built along the Rhine in the nineteenth century to benefit from barge transport and access to process water, and they have remained there ever since. When the Rhine runs low, the impact extends far beyond supply chains; it strikes at the heart of German industry.

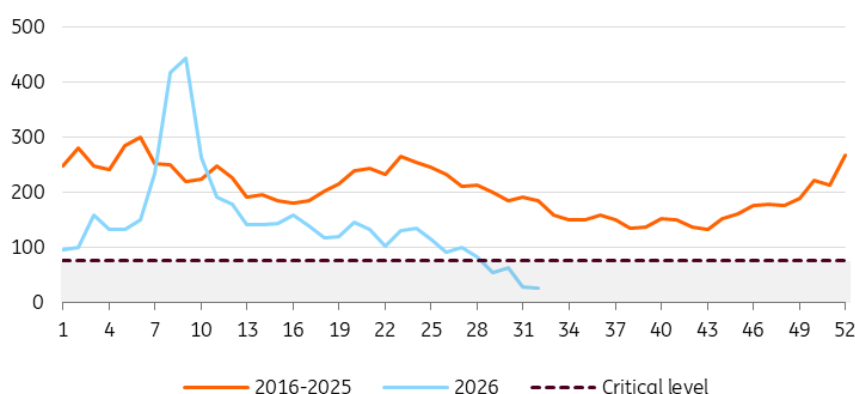
The Rhine's historic importance also means there are no real alternatives. Replacing a single barge can require up to 100 trucks or an entire freight train. And that's before taking into account Germany's well-known infrastructure challenges. Rail and road simply cannot provide a like-for-like substitute for Rhine transport. This is not to say that industry has not reacted to more frequent and longer periods of low water levels. Think of shallow-water barges and higher inventory levels.

Economic impact of low water levels

On Monday, the water level at Kaub fell to 24cm, the lowest level since records began in 1880. The last record low was 25cm in October 2018. This highlights how severe the current situation is. Normally, periods of low water occur between September and November, not in the middle of summer. Yet current forecasts for the next two weeks show little rainfall, suggesting that conditions are likely to worsen.

Water level in Kaub

(average per calendar week in cm)



Source: pegelonline.wsv.de

As the Rhine is home to crucial industries, the economic impact of supply chain constraints, and a potential reduction in production is much larger than the Rhine's c.6% share of total

German freight volume would suggest.

A 2020 Kiel Working Paper found that low water levels in the Rhine, particularly during the 2018 drought, affected the German economy through both transport and production channels. A full month of low water reduced inland shipping volumes by about a quarter, while industrial production fell by roughly 1%. Overall, the 2018 episode is estimated to have shaved around 0.3 percentage points off German GDP growth.

The risk is high that this time around, the economic impact will be larger. The low water levels at the start of August are unprecedented and fully out-of-sample when taking the Kiel paper as a proxy. Obviously, the economic impact now highly depends on the length of the current drought. A week of heavy rain could change the economic picture for the better immediately – even if this currently appears unlikely to happen. Unless the German government finds a reliable rainmaker, we should prepare to see a repetition of 2018 with a negative impact of at least 0.3 percentage points of GDP growth. This comes as a big setback given that the German economy has grown for three quarters in a row and was on track to reach annual GDP growth of some 0.8% this year. A blow to the recovery but not enough to ignite recession fears.

In any case, the negative economic impact will probably make my next outing less enjoyable. Or perhaps not. I may simply find myself humming R.E.M.'s *It's the End of the World as We Know It (And I Feel Fine)*.

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Article | 4 August 2026

TMT

Webinar: The AI race – who will fund and fuel the next wave?

AI is becoming one of the biggest investment, infrastructure and energy stories of our time. Join us to explore how the AI boom is being financed, what investors are watching, and whether power systems can keep pace with soaring demand. [Sign up here](#)



AI is no longer just a technology story. As investment and power needs surge, it has become a capital markets, infrastructure and energy story, too. The race to build AI capabilities is driving unprecedented spending on data centres, compute capacity and power infrastructure. This raises important questions for investors, policymakers and industry leaders.

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You'll learn:

- Why accelerating data centre investment can remain sustainable
- What investors are watching across the largest technology companies
- How AI is reshaping capital markets and financing needs
- How data centres are transforming energy systems and local economies
- How power infrastructure can keep pace — and at what cost

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Details

Date: Thursday 13 August

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 30 minutes, including Q&A.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

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ROMANIA

The Danube runs dry: Romania's latest macro stress test

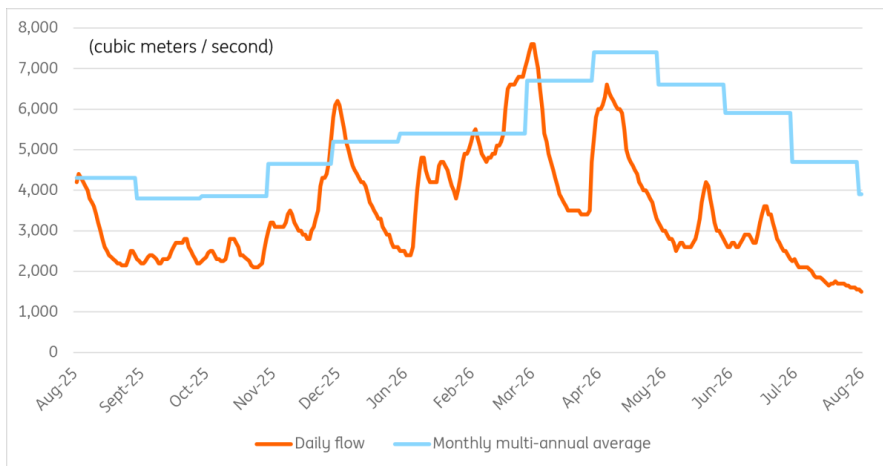
Record-low water levels on the [Rhine](#) show that climate risks are no longer exceptional shocks to otherwise predictable supply chains. As [Germany's](#) experience shows, major waterways are more than just transport routes; they are enablers of industrial activity. On the Danube, Romania faces a test of its power system, industry and trade infrastructure



The Danube in Romania, with extensive exposed sandbanks

At Baziaş, where the Danube enters Romania, river flow fell to 1600 cubic metres per second on 31 July, compared with a normal July average of 4700 cubic metres. It has since dropped further to 1500 cubic metres. Shipping has been partially disrupted, irrigation restricted and several ferry services suspended. The authorities have also had to manage reservoir levels to preserve cooling water for the Cernavodă nuclear power station.

Danube water flows: mind the gap



Source: National Institute of Hydrology, ING

In isolation, low river levels would probably be a manageable sectoral shock. What gives the current episode macroeconomic significance is its timing. Romania entered the second half of 2026 with the economy stagnant at best, industrial production in prolonged decline and inflation still high. We expect GDP to contract by 0.5% this year, after growth of only 0.7% in 2025. With such weak numbers, there is almost no cyclical cushion to absorb another supply shock.

An energy emergency with a long history

The most immediate pressure has come through electricity. Cernavodă normally supplies roughly one-fifth of Romania's power. As Danube levels fell below the thresholds needed for cooling operations, one of the plant's two reactors was disconnected from the grid. The government subsequently declared a nationwide state of emergency for August and allocated funding for temporary works to redirect water towards the remaining operating reactor. On 3 August, the Romanian military used controlled explosions to remove a rock formation obstructing the necessary works.

That is an extraordinary response, but it should not be mistaken for an energy strategy. Blasting rock out of a riverbed may keep a reactor operating for a few more days, but it does not create new generation capacity, reinforce cross-border interconnections or accelerate storage deployment. The government has acknowledged that limited interconnection capacity with Central and Western Europe reduces Romania's ability to cover the shortfall through imports.

The drought exposes a more uncomfortable truth. Romania's current emergency measures are addressing not only an extreme summer, but also decades in which essential energy investments were delayed, redesigned or left at the planning stage. The country has a

comparatively balanced generation mix, combining hydro, nuclear, fossil fuels, wind and solar. Yet diversity of technologies does not always mean diversity of risks. Nuclear cooling, hydroelectric production, river transport and parts of agriculture all depend on the same increasingly unreliable water system.

Meanwhile, the energy transition has progressed unevenly. Solar capacity, including that of prosumers, has increased rapidly, but flexible generation, storage and stronger interconnections have not expanded at the same pace. Plans for new nuclear units, reactor refurbishment, gas generation and grid upgrades have existed for years. The present crisis is therefore part climate shock and part implementation deficit. Today's improvised engineering works are, in effect, compensating for yesterday's missed investment decisions.

For the macro outlook, the key transmission channel is not necessarily a prolonged physical shortage of electricity. It is the price and confidence effect. When stable nuclear supply falls just as heat pushes demand higher, Romania must rely more heavily on imports and higher-cost domestic generation. That adds pressure to margins and threatens another round of electricity cost pass-through. It comes at a time when inflation has remained around 10.0% for the last four quarters, and energy-price liberalisation is already part of the inflation story. Our current forecast sees inflation ending 2026 at around 6.0%, but a persistent power shock would make that path less certain.

Industry did not need another shock

The energy squeeze is hitting an already weak industrial sector as well. Industrial production fell by 3.1% year-on-year in January–May 2026, while manufacturing declined by 4.3%. This is more than a temporary cyclical downturn. Romanian industry has struggled since before the pandemic, reflecting weak Western European demand, financing and energy costs, ageing capital stock and persistent competitiveness constraints.

The decision by Dacia and Ford automakers to pause production until 19 August reduces electricity demand by around 200MW, according to the prime minister. The distinction between emergency curtailment and normal scheduling is important: Ford said that its summer holiday stoppage had been planned in advance. Nevertheless, the fact that the authorities are relying on large manufacturers to help balance the system illustrates the limited short-term alternatives available.

The direct GDP hit from several weeks of lower automotive output should not be overstated. Some lost production may be recovered later, and the summer period is normally affected by maintenance and holidays. But the broader signal is that energy-intensive manufacturers are being asked to act as the power system's informal shock absorber at a time when industrial margins and investment appetite are already under pressure.

This reinforces a split currently visible in Romania's economy. Manufacturing is contracting,

while construction is growing strongly on the back of infrastructure works and EU-funded investment. Construction output rose by 11.3% year-on-year in the first five months of 2026, helping to prevent a deeper downturn. That support is valuable, but it cannot indefinitely substitute for a competitive tradable sector. Romania needs roads, railways and energy infrastructure to lift industrial potential, not merely to keep headline GDP afloat.

The Danube loses some of its cost advantage

Low water reduces the navigable depth of the Danube, forcing vessels to carry lighter loads, wait for improved conditions or transfer cargo to road and rail. On parts of the Bulgarian-Romanian stretch, cargo vessels have reportedly been operating at around half capacity because of draft restrictions, while low-water surcharges have been introduced. In Romania, idle grain barges and suspended ferry services have already been reported.

This matters because the Danube is more than a national waterway. Together with Constanța and the Danube-Black Sea Canal, it forms part of a strategic corridor connecting Central Europe, the Black Sea, Ukraine and Moldova. The corridor has become more important since the war in Ukraine started, particularly for agricultural exports and regional supply-chain resilience. When barge capacity falls, the consequences include higher transport costs, congestion on alternative routes and reduced reliability precisely when companies are being encouraged to diversify logistics networks.

Romania still has a strong strategic position. Schengen membership, motorway development, the port of Constanța and the final push to complete EU-funded transport projects could strengthen the country's role as a regional logistics and production platform. But low Danube levels provide a useful warning: building individual assets is not enough. Romania also needs redundancy between river, rail and road, reliable access to Black Sea capacity and infrastructure designed for a climate in which low-water episodes are likely to be more disruptive. The wider Danube basin authorities already identify longer and more frequent summer droughts, together with water scarcity affecting agriculture, energy and navigation, as a structural adaptation challenge.

The macro effect: stagflationary, but manageable

The drought alone is unlikely to change Romania's annual GDP trajectory dramatically. Its effects may also be partially reversible if river levels recover and industrial production is rescheduled. But it is nevertheless a stagflationary shock: it reduces output while raising electricity, transport and potentially food-production costs.

The economy is especially sensitive because domestic demand has already weakened sharply. GDP fell by 1.2% year-on-year in the first quarter with household consumption declining by 1.8%. Employment has also fallen from its early-2025 peak. Under normal circumstances, weaker demand would help bring inflation down, but the Danube shock complicates that

adjustment by adding supply-side price pressures.

One positive feature of the current macro mix is that EU-financed investment is providing a buffer. Investment rose by 2.2% year-on-year in the first quarter, while EU-funded public investment increased strongly during the first half. Romania is also approaching the final stage of its Recovery and Resilience Facility programme, with the fifth and sixth payment requests expected in August and September. If execution remains on track, 2026 could bring historically high EU inflows.

That makes the composition of investment more important than ever. The last-mile RRF push should not be judged only by how much money is absorbed before the deadline. Its success should also be measured by whether projects reduce the economic cost of the next drought. Energy networks, storage, interconnections, irrigation, rail links, port access and navigability are not separate policy files. They are components of the same resilience strategy.

A warning that should survive the summer

The Danube drought will not derail Romania's economy, but an economy already in stagnation has very little room for avoidable shocks. Each individual disruption may look small: a reactor offline, a temporary factory stoppage, a lighter barge or a suspended ferry. Together, they expose the same structural weakness. Romania has spent years relying on favourable geography and a diversified energy mix without investing enough in the systems that make those advantages resilient.

The emergency response can preserve supply this summer but it cannot substitute for a serious long-term energy and transport strategy. The policy test begins after the water returns: whether Romania treats the episode as an exceptional natural event, or as a warning that climate adaptation, energy security and industrial competitiveness have become the same macroeconomic issue.

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Article | 3 August 2026

FX

Washington joins the fight for the yen

US and Japanese authorities have confirmed that they have jointly intervened in FX markets to support the yen. Joint intervention is rare and points to new FX activism from the US Treasury. Yet a successful turn lower in USD/JPY will require softer US data, no Fed hikes and possibly some new initiatives from Japan to keep more money at home



The US dollar has weakened sharply against the Japanese yen after market intervention

Q: What's happened?

Reports over the weekend suggest US and Japanese authorities have jointly intervened to support the yen. This marks the first coordinated G7 FX intervention since March 2011 following Japan's earthquake and tsunami, and the first joint US-Japan yen-buying intervention since June 1998, when USD/JPY was approaching 150 during the Asian financial crisis.

Tokyo appears to have remained an aggressive seller of USD/JPY. Intervention on Thursday and Friday alone may have totalled close to \$80bn, exceeding the scale of operations seen in late April, and further intervention may have been conducted today. On the US side, reports suggest the Federal Reserve was checking rates in EUR/JPY and may have been selling euros against the yen, although it remains unclear whether US authorities have also been directly

selling USD/JPY.

Questions also remain over the scale of US participation. *Reuters* published a photograph of Treasury Secretary Scott Bessent's handwritten notes referencing plans to purchase \$5-10bn of yen. In practice, we suspect the amounts deployed may prove smaller. Unlike Japan, the US holds only limited foreign exchange reserves, meaning the signalling effect of intervention is likely to matter more than the volume of flows.

The US holds roughly \$38bn of foreign currency reserves, split broadly evenly between the Treasury's Exchange Stabilization Fund (ESF) and the Federal Reserve's System Open Market Account (SOMA). Around 70% of those reserves are held in euros, with the remainder invested in yen-denominated assets.

Q: Why now?

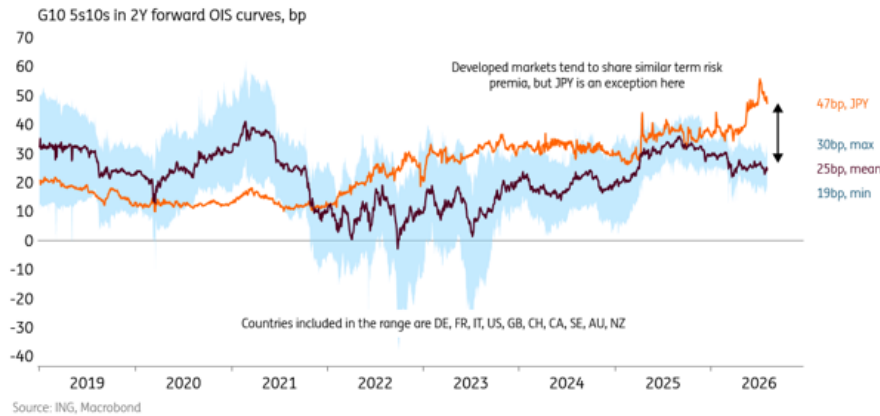
Joint intervention has not come as a complete surprise since the Fed did check the USD/JPY rate back in January. Bessent has been supportive of Japanese intervention for a while and has acknowledged that the yen is very undervalued.

Perhaps Washington felt that Tokyo required some help with the heavy-lifting of the yen, since April/May's \$70bn of FX sales had failed to prevent USD/JPY from trading to a new high at 164. That yen weakness was seen contributing to Japan's 30% year-on-year increase in import prices and, in turn, weighing on JGBs.

Also, in the rates space, the nervousness from investors about Japan has been mounting since the start of the year. The 10Y JGB is trading at the highest yield since the 90s and the momentum is clearly there to move higher still. And this is not just an inflation story – real rates rose more rapidly over the past year than break-evens.

Instead, we argue that investors are also increasingly demanding a risk premium to hold JPY rates, adding upward pressure to 10Y JGB yields. In the figure below, you can see that the slopes (in 2Y forwards) of most G10 currency swap curves tend to trade very closely together, especially in recent years. The JPY curve is the exception here. The much steeper curve is evidence that investors are demanding a higher return for exposures to Japanese rates.

Investors are demanding an increased term risk premium for holding JPY rates



Source: ING, Macrobond

Did Washington feel that the JGB sell-off was undermining Treasuries as well? The higher risk premium of JPY does not immediately trigger large spillovers to markets abroad, but the selling of UST holdings by Japan would pose a more material risk. Japan is one of the largest foreign investors with holdings of around \$1.1tr. However, there have been reports today that Japan could use the Fed's FIMA repo facility to raise intervention dollars against its Treasury collateral, rather than selling those securities. Yet, the single counterparty limit there is \$60bn, which could be quickly consumed.

When looking at historical flows data, we see that Japanese investors tend to buy USTs when relative FX-hedged yields are attractive. With a steeper JPY curve, the relative value turns away from USTs, in favour of JGBs. With the record US deficit unlikely to be addressed anytime soon, foreign buyers will need to play an important role to prevent UST yields from breaking higher.

Q: Will the US try to get the rest of G7 and G20 on side?

For now, intervention remains a bilateral US-Japan operation. A more powerful signal would come from broader G7 or G20 backing. The next opportunity arrives at the G20 Finance Ministers and Central Bank Governors meeting in Asheville, North Carolina, from 31 August to 1 September, where Washington could seek wider endorsement for efforts to stabilise the yen.

We think the chances of securing explicit multilateral support are low. The challenge is that many G20 members are likely to view yen weakness not as a case of market dysfunction, but as the consequence of Japan's own policy mix. Loose fiscal policy, still-accommodative monetary settings and the Takaichi government's growth agenda have all contributed to a weak yen environment. Against that backdrop, other countries may be reluctant to commit political capital or market credibility to a coordinated campaign to strengthen the currency.

Indeed, a formal G20 statement backing yen appreciation would be difficult to reconcile with the longstanding G20 principle that exchange rates should be market-determined. While policymakers may endorse efforts to address excessive volatility or disorderly market conditions, explicit support for a stronger yen appears a much higher hurdle.

Q: Does this represent a new era of US FX activism in global financial markets?

Confirmation of US Treasury purchases of yen would come less than a year after Washington's intervention to support the Argentine peso. In October 2025, the Treasury extended a \$20bn ESF-backed swap facility to Argentina and subsequently used the Exchange Stabilization Fund to help stabilise the peso ahead of the country's mid-term elections. Argentina ultimately drew around \$2.5bn from the facility and repaid the amount in full before year-end.

Taken together, the Argentine and Japanese episodes suggest a Treasury that is becoming more willing to use the ESF in support of broader economic and geopolitical objectives. That marks a notable departure from the relative passivity that has characterised US foreign exchange policy for much of the last two decades.

The comparison should not be taken too far. Argentina was facing an acute balance-of-payments challenge and severe pressure on its currency, whereas Japan remains one of the world's largest creditor nations. If anything, Washington's willingness to support the yen reflects a view that the currency has moved substantially below levels justified by economic fundamentals. On that point, we share Bessent's view that the yen remains materially undervalued.

Q: Will intervention be successful?

With his long experience in currency markets, Bessent will appreciate that macro fundamentals ultimately dominate exchange rates. FX intervention can smooth disorderly market conditions and alter market psychology at the margin, but its primary function is typically to buy time rather than engineer a lasting shift in trend.

Japan's intervention campaign in the summer of 2024 illustrates the point. Those operations proved effective not because of their size alone, but because they coincided with a genuine turn in the US rate cycle as softer economic data paved the way for three 25bp Federal Reserve rate cuts later that year.

The same lesson applies today. The success of this latest intervention effort will depend less on how many yen authorities purchase and more on whether US economic data soften sufficiently to prevent further Fed tightening. That remains ING's central view and underpins our forecast for USD/JPY to decline to 158 by year-end and 152 by end-2027.

Those looking for an aggressive Bank of Japan tightening cycle to reinforce yen strength may be disappointed. The Takaichi government's emphasis on growth suggests the BoJ will remain cautious in withdrawing accommodation. In our view, more promising support for the yen could come from policies designed to redirect domestic savings back into Japanese assets.

This is where developments around NISA merit close attention. The 2024 NISA reforms encouraged substantial retail investment into overseas equities, contributing to persistent capital outflows and a weaker yen. Any future adjustments that broaden the appeal of domestic assets, including greater access to instruments such as JGBs, could help reverse some of those flows.

Ultimately, intervention can create an inflection point, but it cannot overturn fundamentals. A sustained move lower in USD/JPY will require narrower US-Japan rate differentials and a softer US economic backdrop. Without that, even coordinated intervention risks being remembered as another attempt to slow the dollar's rise rather than reverse it.

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UNITED STATES

Webinar: What if... The Fed cuts rates by next summer?

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Details

Date: Thursday 6 August

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 30 minutes, including Q&A.

The event will take place online, and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

Note: If you registered for or attended our recent webinar on oil prices, you'll automatically be signed up for this event and future events in our What if? series. Add it to your calendar by following the instructions [on this page](#)

Speakers

- **James Smith** (Developed Markets Economist)
- **James Knightley** (Chief International Economist)
- **Francesco Pesole** (FX Strategist)

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Article | 23 July 2026

FX

Sterling's rally is not built to last

Sterling's rally has been driven more by positioning, carry and potentially some M&A flows than by a lasting improvement in UK fundamentals. With UK short-dated rates likely to drift lower and fiscal risks set to return ahead of the autumn, we expect sterling to hand back recent gains. Our central view remains for EUR/GBP to rise towards 0.88 by year-end



We expect sterling's strength to reverse as we see positioning, carry and M&A flows driving the rally rather than fundamentals

Not driven by a UK re-rating

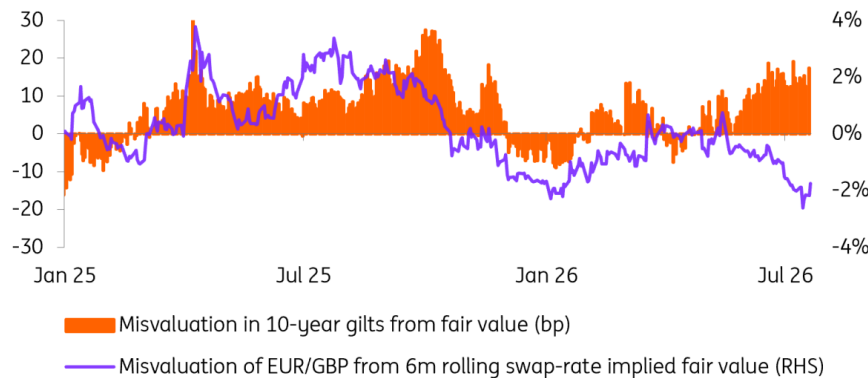
Sterling has had a pretty good summer so far. Even though it is off recent highs, sterling has still managed to rally about 2% against the euro over the last month and has generally performed well against a strong dollar.

Normally, a sustained rally in sterling would be driven by some good news – be it on growth, relative rate differentials, fiscal improvements or just capital inflows. It's hard to pick out anything concrete here, but justifying sterling's rally on a perceived fiscal improvement – for example, Andy Burnham's choice of chancellor – looks wide of the mark.

Below we show a relationship between the UK risk premium embedded in the gilt market versus that embedded in the FX market. Through 2025, both 10yr gilt yields and EUR/GBP

traded above levels normally associated with common financial variables. While that risk premium has remained in gilts for most of 2026, it has evaporated in sterling. As a result, this sterling rally is not a classic re-rating story.

Risk premium remains in gilts, not sterling



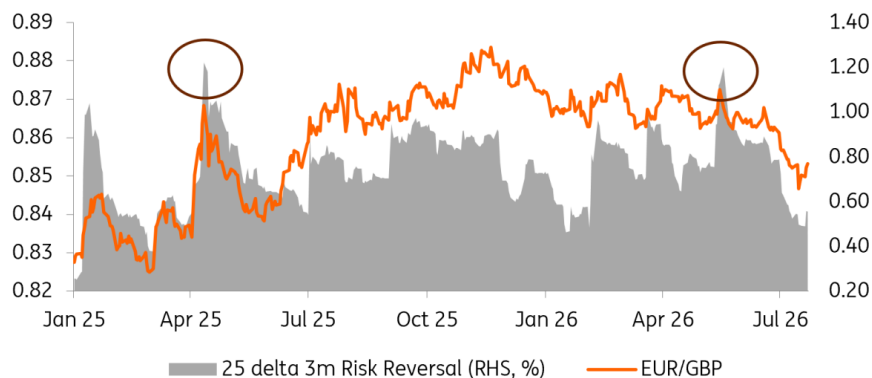
Source: ING, Refinitiv

Positioning explains more than fundamentals

A better explanation of the sterling rally – one which appeals to us much more – is the combination of a short squeeze and some one-off flows. On the former, it looked like speculators had turned exceptionally bearish on sterling ahead of UK local elections in early May on the (correct) assumption that poor results would spell the end of Prime Minister Keir Starmer's premiership. That bearish sterling sentiment can best be seen in the FX options market, where the risk reversal – the cost of buying a EUR/GBP call over an equivalent put option – rose to the most expensive levels seen since April 2025. That was when global financial markets were in turmoil after President Donald Trump's 'Liberation Day' tariffs.

Sterling failed to sell off in the immediate aftermath of those election results, and we suspect a combination of sterling's relative high risk-adjusted yields in quiet summer markets and potentially some large one-off sterling buying flows caught the market exceptionally short. In terms of those flows, there has been speculation that M&A activity could be in play.

EUR/GBP versus three month risk reversal



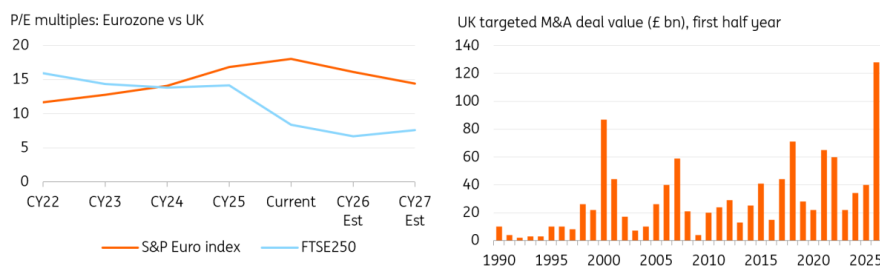
Source: Refinitiv, ING

The M&A story is probably being overstated

Connecting M&A activity with currency moves is typically a thankless task – particularly when this cross-border activity can be FX-hedged, can be spread over many months and can be locally funded. Yet the available data does suggest there has been a huge pick-up in UK targeted M&A flows this year on the view that UK corporates are cheap.

Current price earnings multiples for the FTSE 250 trade at a steep discount to the S&P Euro index (around 180 names) and announced UK inbound inflows are running at record highs. Announced flows into the UK dwarf anything seen in continental Europe, with UK deals focusing on Financials (Schroders, Beazley, Allfunds Group), Consumer Staples (Food assets/Unilever) and Industrials (Intertek, Rotork).

UK versus eurozone P/E multiples and UK M&A inflows

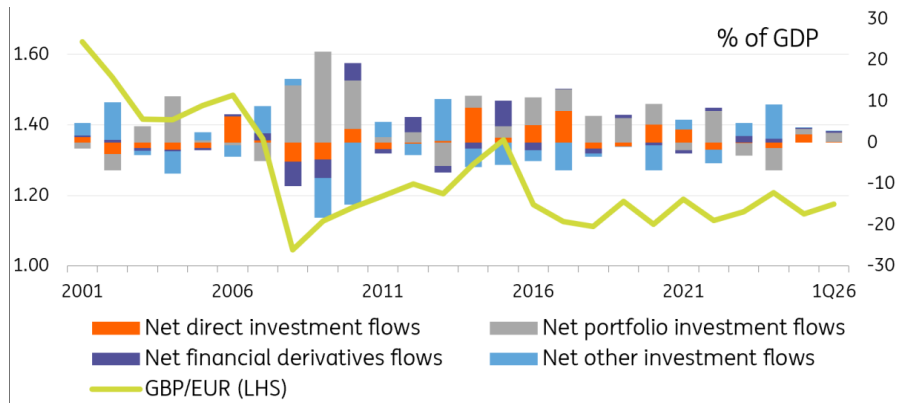


Source: LSEG, ING calculations

Pending and completed deals for UK companies this year add up to a staggering £220bn on some measures. But what we would say is that, over the last 25 years, net portfolio flows have on average been nearly five times larger than net direct investment flows. This can be seen below when looking at financial account flows as a % of GDP.

While M&A flows may occasionally grab the headlines in currency markets, they rarely drive sustained moves in currencies.

UK net investment and portfolio flows versus GBP/EUR



Source: UK Office for National Statistics, Refinitiv

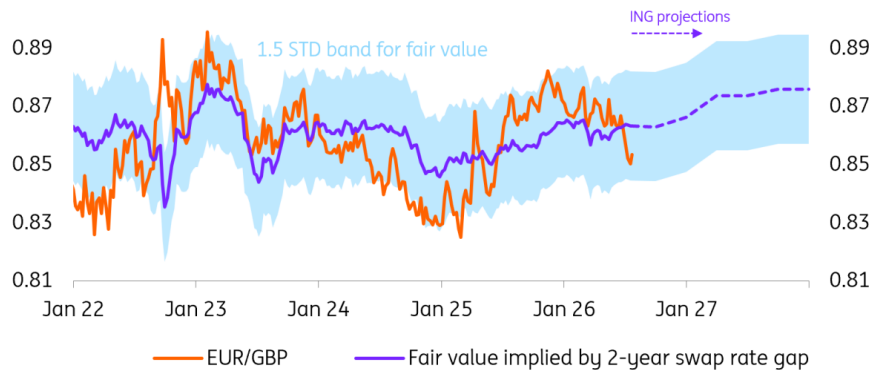
The real driver ahead is the Bank of England

What typically explains currencies is relative growth trends and what they mean for the monetary and fiscal mix. Coming back to basics, EUR/GBP has lacked a sustained trend since 2022, but interest rate implied fair value has consistently acted as an anchor around 0.86. The fair-value estimate is derived from a 10-year weekly relationship between EUR/GBP and the EUR:GBP 2Y swap spread, providing a stable benchmark against which to assess valuation. As shown in the chart below, periods of substantial over- and undervaluation have typically reversed over time.

The pair currently sits close to the lower edge of the 1.5-standard-deviation valuation band, suggesting limited downside potential barring a substantial swing in short-term differentials in favour of the pound. On the contrary, our swap rate forecasts imply a gradual rise in EUR/GBP fair value over the coming years. That is based on the house view that UK inflation looks, barring a much larger energy surge, unlikely to challenge the 4% area – the 4% threshold seen as the trigger for a Bank of England hike. An unchanged UK policy rate and one further European Central Bank hike to 2.50% is our house call over the next six to nine months.

Our call on rate spreads suggests EUR/GBP should trade higher from here. But what about the fiscal story? Could there be any surprises there?

Short-term rate differential is the medium-term anchor for EUR/GBP



Source: ING, Refinitiv

Tight fiscal arithmetic becomes harder to ignore

Like much of Europe, there are plenty of reasons to be downbeat about the UK's public finances. Spending pressures are growing – from defence to health and social care. Debt interest costs are high and rising, not helped by Britain's large stock of index-linked bonds and increasing reliance on foreign investors (particularly hedge funds). The tax burden may be the highest in decades, but spending has risen more significantly as a share of GDP since 2019. And tax on wages – income tax and social security – is among the lowest in Europe as a share of average labour costs.

That said, the UK is also a rare example of a country undergoing some meaningful fiscal consolidation. Since 2021, the tax thresholds have been frozen in cash terms. And subsequent waves of inflation have dragged more and more people into higher tax brackets, increasing tax revenues as a share of GDP. This fiscal drag is planned to continue over the remainder of this decade. And it's a key reason why gilt issuance is falling significantly – from £303bn in FY2025 to £246bn in the current fiscal year.

In short, there's a more positive near-term public finance story even if longer-term, it's hard to see how borrowing doesn't increase over and above current budget plans.

Over recent weeks, investors had become more relaxed about Burnham's appointment, following his commitment to stick to the existing fiscal rules. In theory, that precludes a stimulus package this autumn that would either materially increase gilt issuance or change the calculus for the BoE. But Burnham's recent openness to bigger changes – including lifting the tax-free allowance and greater funding for social care – means a bolder budget can't be ruled out. Investors will be particularly sensitive to any headlines on tweaks to the fiscal rules in the run-up to Burnham's first budget this October or November.

Sterling to hand back gains

Sterling's summer rally has come as a surprise to most, but it looks to be built on weak foundations. Into the autumn, we expect UK short-dated rates will be coming lower and the UK's fiscal position will again be under scrutiny. That means EUR/GBP doesn't need to spend too long down at these levels near 0.85 and we remain comfortable with our call for a move to 0.88 by year-end and a push to 0.90 in 2027. And based on our view that the Fed does not tighten in this cycle and the dollar softens, GBP/USD should continue to trace out a 1.32-1.36 range.

ING's forecasts for GBP

	2026		2027			
	Q3	Q4	Q1	Q2	Q3	Q4
EUR/GBP	0.87	0.88	0.89	0.90	0.90	0.90
GBP/USD	1.34	1.34	1.33	1.33	1.34	1.36

Source: ING

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Article | 22 July 2026

TRADE UNITED STATES

A new round of tariff woes: disturbing but not disruptive (for now)

Just when it seemed the summer break was within reach, a new round of trade tensions is already looming. August is increasingly shaping up to be another summer month dominated by trade disputes and tariff headlines



The last 12 months have shown that US tariff announcements tend to be far more dramatic than their eventual implementation.

Trade tensions are back. While markets have been focusing on the war in the Middle East and the renewed rise in energy prices, the last two weeks have again been very busy on trade and tariffs, even by the standards of last year. Here is the latest state of play:

- Canada gets hit hardest. On 20 July, US President Donald Trump signed three proclamations imposing 50% tariffs on Canadian goods under Section 338, citing discriminatory treatment of US exports, effective 19 August, with carve-outs for energy, potash, critical minerals, fish, and goods already under Section 232. Section 338 (which dates from the Smoot-Hawley era in the 1930s) is a new legal frontier and, so far, has been untested in court.
- The new tariffs on Canadian imports are another sign that the North American trade

pact is now formally on its way out. Trump's decision not to extend the United States-Mexico-Canada Agreement on 1 July triggered a 10-year wind-down process. That mechanism is doing exactly what it was designed to do: create negotiating leverage. This week, US and Mexican officials launched a third round of bilateral talks in Mexico City, focusing on technical issues related to steel, aluminium, automobiles and labour standards. For now, it appears that Washington is seeking to negotiate a bilateral successor agreement with Mexico while increasingly treating Canada as an adversary.

- There are also clear efforts to respond to the Supreme Court's February ruling that struck down tariffs imposed under the International Emergency Economic Powers Act (IEEPA). The administration's emergency fix was to invoke Section 122 of the Trade Act of 1974: a temporary balance-of-payments surcharge that Congress capped at 15% and limited to 150 days. As a result, it will automatically expire at 12:01 a.m. on 24 July, exactly 150 days after it came into effect.
- That was always scaffolding, never the building. The permanent replacement began to take shape on 12 March, when the US Trade Representative launched Section 301 investigations into forced labour as part of an explicit strategy to rebuild the tariffs struck down by the Supreme Court. The Section 301 action covers roughly 60 economies – about 99% of US import value – in two tiers: 10% tariffs on 14 economies including the EU, UK, Canada and Mexico, and 12.5% on 46 others, including China, Vietnam, India and Japan. Unlike Section 122, Section 301 has no statutory rate cap and no built-in expiry date. These tariff rates are probably low enough for most US trading partners not to oppose them. The European Commission, for example, has already signalled that these duties are unjustified but that it would accept them as long as they stay under the 15% Turnberry cap. Pragmatism dressed as principle, or principle dressed as pragmatism?
- There has been trade policy as theatre, with NATO as the stage. Trade policy has also become political theatre, with NATO serving as the stage. At the NATO summit on 8 July, Trump said he wanted to “cut off all trade with Spain, including visits”, describing the country as “a terrible partner in NATO” that neither contributes nor pays its fair share. Why does this mainly fall under the label ‘theatre’? Well first, trade policy is an exclusive EU competence and there is no legal instrument for tariffing one member state out of the single market. Anything targeting “Spanish” goods would hit EU goods and collide head-on with the Turnberry framework the US government itself signed. Second, the arithmetic argues against it: the US runs a goods surplus with Spain (roughly \$26 billion in exports against \$21 billion in imports), so an embargo would hurt American exporters more than Spanish ones. And third, the threat already served its purpose: within a day, Trump claimed Spain had “come back all the way” and agreed to pay more after the embargo threat. Whether Madrid actually conceded anything is disputed, but the pattern is the recognisable one: maximal threat, declared victory, quiet de-escalation.

New tariff woes: disturbing but not disruptive

All of these developments suggest that trade policy is once again moving to the forefront of market attention. However, maybe even more so than last year, the headlines are proving more disruptive than the reality. Admittedly, this latest bout of tariff brinkmanship comes at a time when the global economy is in a weaker position than it was on Liberation Day, not least because of higher energy prices. At the same time, however, the last 12 months have shown that US tariff announcements tend to be far more dramatic than their eventual implementation. The world has also adjusted to at least some degree of higher trade barriers. As a result, while a fresh round of tariff threats may disrupt the summer lull, it's unlikely to have the same disruptive power as it did last year. For Europe, at least, the drought and exceptionally low water levels in key waterways may ultimately prove more disruptive than the latest tariff woes.

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Article | 4 August 2026

MANUFACTURING, CONSTRUCTION AND RETAIL THE NETHERLANDS

Dutch housing permits hit 10-year high, but construction still slow off the ground

The Dutch construction sector is expected to stabilise in 2026 after a weak start to the year. In 2027, building volume will grow slightly again, mainly because more building permits issued will gradually lead to more housing construction. Nevertheless, the recovery remains limited



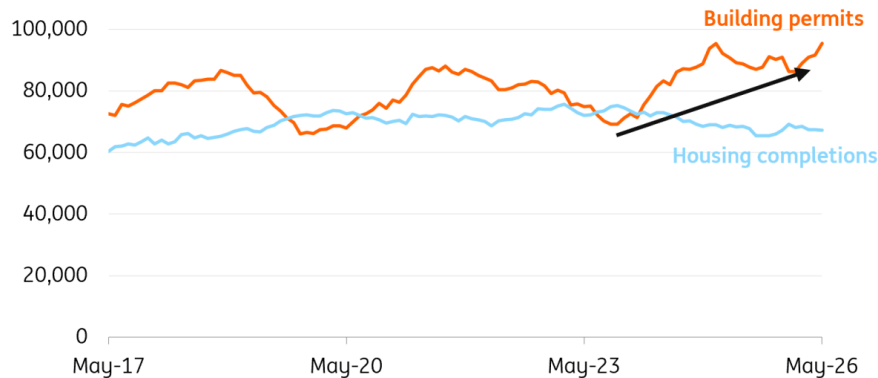
More building permits are set to support a gradual recovery in Dutch housing construction, though growth remains modest

More permits, but no quick breakthrough yet

In May, 10,628 building permits were issued for new-build homes, the highest monthly number since the start of the current measurement method in 2015. However, permits do not translate directly into new homes. Projects can be delayed while homes are sold, plans revised, or permits renewed. As a result, the number of housing starts typically trails the number of permits issued by 10,000 to 15,000 each year.

Number of building permits on the rise again

Number of Dutch new-build homes, rolling annual total per month up to and including May 2026



Source: CBS, ING Research

71,000 new-build homes in 2026 and 74,000 in 2027

In the first four months of 2026, 7% fewer new-build homes were built than in the same period last year. That shortfall will need to be recovered over the remainder of the year, which is why we expect only a modest increase to around 71,000 completed homes in 2026, rising further to 74,000 in 2027.

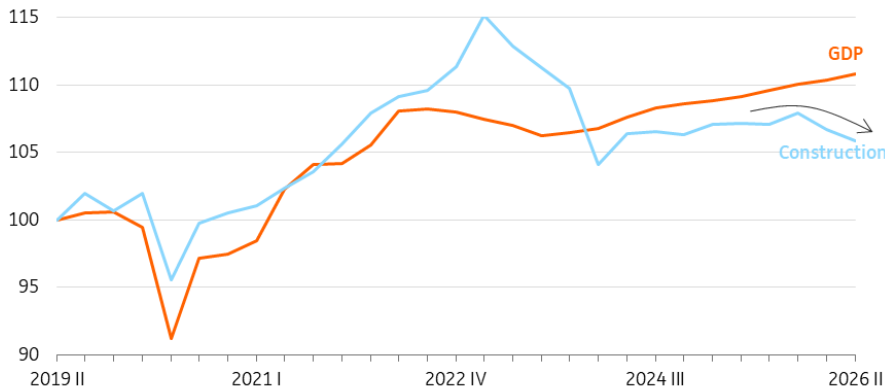
Infrastructure sector remains an important driver, but growth is levelling off

The infrastructure sector remains the strongest subsector within Dutch construction. The outlook for the infrastructure sector is also positive. Since 2020, production in the infrastructure sector has shown persistently high growth rates, with volume growth of 10.5% in 2025. However, we do expect volume growth to be much lower in 2026 and 2027.

The growth rate in the infrastructure sector is slowing down due to high construction costs, staff shortages, nitrogen restrictions and limited government budgets. Because of these limited budgets, the government has decided to prioritise maintenance instead of new construction. The recent closure of the Merwede Bridge for trucks due to overdue maintenance also shows that this is needed. However, production levels in the infrastructure sector remain high – they are more than 40% above the level of five years ago.

Construction output falls in first half of 2026

Volumes Dutch construction sector in value added (index Q2 2019= 100)



Recovery remains fragile

Total Dutch construction production contracted by around 1% in both the first and second quarters of 2026. This means that construction has lagged behind the growth of the Dutch economy as a whole since the beginning of 2024.

For the entire year of 2026, ING Research expects zero growth on balance. Slight growth of 1% is expected to follow in 2027, helped by the previous increase in the number of building permits.

A more in-depth analysis on this topic has been published in [Dutch](#).

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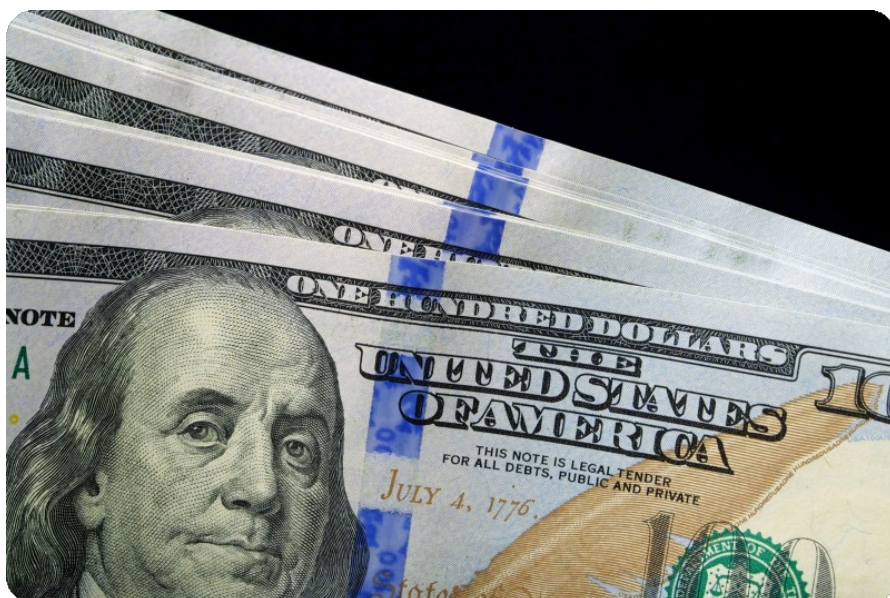
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Article | 4 August 2026

FX

FX Daily: Dollar can recover some ground – if data allows

The dollar is trading on firmer footing at the start of this week. With this round of large-scale JPY intervention on the books and a more balanced speculative positioning, a batch of soft US data is needed this week to add more pressure on the greenback. We see room for some USD recovery in the next couple of days



↑ USD: Some upside risks this week

The dollar has found some support at the start of this week. This round of JPY intervention ([which we analysed in detail here](#)) may be over, lifting a key source of further downside risk for the dollar for the remainder of this week. Also, the positioning picture for USD is probably more balanced now compared to a week ago.

Our calculations based on CFTC figures show aggregate net-long USD speculative positioning vs reported G9 currencies (G10 excluding NOK and SEK) at almost 26% of open interest the day of July's Fed meeting. That was slightly above the peaks of January 2025 and April 2024, and the most overbought the dollar had been since May 2019.

If position-squaring exacerbated the dollar selloff last week, we think further USD losses from

here require a more compelling macro argument. That is, soft data justifying a new round of dovish repricing. Yesterday, ISM manufacturing surprised on the upside, with strong gains in the employment sub-index. For the rest of the week, focus is shifting firmly to the jobs market. Today, the focus is on JOLTS job openings for June, expected to have slowed to below 7.5m.

Unless ADP tomorrow and, more importantly, payrolls on Friday point to a clearly weakening jobs market (the 80k payroll consensus suggests the opposite), we do not expect the dollar to fall much further in the near term. Uncertainty over the next stage of US-Iran negotiations may also help limit downside pressure on oil prices. Markets may ultimately maintain pricing for a September Fed hike above 50% (currently 65%), and we keep a modest bullish bias on the dollar this week.

Francesco Pesole

↓ **EUR: Slightly overvalued**

Our short-term fair value model suggests EUR/USD is modestly overvalued (around 0.5-1%) at current levels. It's not a very strong directional signal, but does endorse our perception that EUR/USD needs help from a favourable shift in short-term rate differentials (i.e. dovish Fed repricing) to take another leap higher.

Our baseline for this week is for EUR/USD to edge back below 1.150 on a more supported USD, but unless US jobs figures come in particularly hot, we don't see a return to 1.140 in the near term.

Francesco Pesole

↓ **NZD: Jobs data shouldn't derail hiking plans**

New Zealand releases its 2Q labour market data tonight. High-frequency indicators point to only 0.1% QoQ employment growth, while unemployment is expected to edge up from 5.3% to 5.4%. That would broadly match the Reserve Bank of New Zealand's May projections, which implied 1-2 hikes in 3Q. Since July's hike, markets have continued to price around 20-25bp of tightening for the 2 September meeting.

We have long favoured a hike in either September or October, but our conviction around a September move has increased recently. The main reason is that markets may be overstating the scale of the tightening cycle, with 75bp priced in by February. We suspect two of the six policy committee members were not fully aligned with May's hawkish shift, meaning the narrative may ultimately settle around a smaller 50bp "insurance" tightening cycle. If so, that would argue for an earlier move in September and then a pause.

NZD has been one of the stronger performers since the Fed meeting, clearly outpacing AUD after the latter suffered a sharp dovish repricing following a soft CPI release. NZD/USD may

remain around the 0.585-0.590 range for now, but a September hike delivered with a slightly dovish tone could prompt some correction and open the door to a period of AUD outperformance relative to NZD. Our year-end target for NZD/USD is currently 0.59, though 0.60 is looking increasingly attainable.

Francesco Pesole

CEE: Rates relief has further to run

Markets opened on a positive note, as expected, following weekend headlines from the Middle East, with rates markets outpricing rate hikes. FX, however, remained sidelined at the start of the week, with limited movement. Market pricing now implies around two CNB hikes over the next 18 months, a little more than one hike in Poland and around three rate cuts in Hungary. We continue to expect rates to remain unchanged in the Czech Republic and Poland, while the Hungarian central bank is likely to deliver more cuts than currently priced in.

Rates, therefore, have more scope to rally if the global backdrop remains supportive. In the Czech Republic and Hungary in particular, inflation prints and this week's CNB meeting should provide additional support. Yesterday's moves largely tracked core markets, with little change in rate differentials. Our views from yesterday are unchanged: a stronger zloty and forint should benefit from global relief, while the koruna is likely to underperform on a dovish interpretation of this week's CNB meeting.

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COMMODITIES DAILY

The Commodities Feed: Oil drops amid renewed peace deal hopes

Oil sold off sharply yesterday on optimism that a Middle East deal might be within reach. However, markets may be getting ahead of themselves once again



Energy – Deja-vu for oil markets?

Oil prices dropped sharply yesterday on rising optimism that the US and Iran may be moving closer to reviving a Middle East deal. ICE Brent settled more than 7% lower on the day, after President Trump called off strikes against Iran, aiming to get a deal across the line. He also suggested that talks between the US and Iran have already resumed. Iranian officials continue to deny that any negotiations are under way, insisting that current discussions with Oman are limited to shipping routes through the Strait of Hormuz. At the same time, reports emerged yesterday that a cargo vessel off the Omani coast was struck by an unidentified projectile.

The scale of the sell-off seems fairly overdone, given that there's still considerable uncertainty. We've been in this situation multiple times before, only to see things unravel. And with Iran denying that any talks are underway and Trump issuing warnings if no deal materialises, the backdrop clearly leaves ample room for a renewed escalation.

In the Black Sea, recent days have seen more loading activity at the CPC terminal, which ships

Kazakh oil from Russia's coast. Loadings had been disrupted in recent weeks amid ongoing Ukrainian attacks on Russian energy infrastructure. There have also been risks for oil tankers operating in and around the terminal, leaving shipowners hesitant to load. For now, flows into the terminal still appear to be running below normal levels.

European gas prices also came under pressure yesterday, although not to the same extent as oil, with TTF settling 2.65% lower on the day. There are growing concerns in Europe over storage levels and the slow injections we are seeing, leaving the region more vulnerable as we head into the 2026/27 winter. While storage is only a little above 57% full — below the utilisation seen in 2021 — in absolute volume terms it still sits just above 2021 levels. It's also worth pointing out that EU gas demand is considerably lower now than it was in 2021. So, while the gas market is admittedly tight, it's still quite a bit more comfortable than it was in 2021. EU gas demand in 2025 was 18% lower than 2021 levels.

Metals - Lower oil prices support gold rebound

Gold edged higher, extending its recovery after posting its first monthly gain since February in July. Prices found support from easing geopolitical concerns in the Middle East. Reports of diplomatic efforts aimed at improving shipping conditions through the Strait of Hormuz helped to drive a sharp decline in oil prices. Lower energy prices have eased some inflation concerns, offering a more supportive backdrop for bullion.

Meanwhile, markets continue to assess the outlook for US monetary policy following last week's Federal Reserve meeting. While policymakers kept rates unchanged, uncertainty over the policy path remains elevated as investors weigh persistent inflation risks against signs of moderating economic momentum.

Silver also moved higher, supported by the broader improvement in precious metals sentiment.

Gold is likely to remain caught between improving geopolitical sentiment and ongoing uncertainty over US interest rates. Any further decline in energy prices could help improve the macro backdrop for bullion, though expectations for rates to stay higher for longer may continue to limit upside.

In base metals, zinc climbed to above \$3,700/t. This marks the highest level in nearly four years, driven by tight concentrate supply that continues to squeeze smelter margins and limit refined metal output. Declining exchange inventories and signs of tightness in the physical market have also supported prices, helping zinc extend its recent rally despite mixed demand conditions. Tight mine supply, low treatment charges and falling inventories should underpin zinc prices in the near term. Yet weaker downstream demand could limit further upside.

Agriculture – Vietnam coffee exports surge

The latest data from the Uganda Coffee Department Authority show that Uganda's coffee shipments fell 24% year-on-year to 744.5k bags in June. The decline in exports was largely driven by traders holding back sales as global prices weakened amid an improved supply outlook. Coffee exports reached their highest monthly level of the 2025/26 season, with the department attributing the strong demand performance to improving production prospects. Robusta exports dropped 24% YoY to 668.2k bags, while Arabica shipments eased 26.8% YoY to 76.3k bags. Cumulative shipments for the 2025/26 season (Oct – June) reached 5.6m bags (60kg bag).

Vietnam's statistics office estimates July coffee exports at 396kt — a sharp jump of 287% YoY from 102.4kt a year earlier. This leaves cumulative coffee exports at 1.31mt over the first seven months of the year, up 21% YoY.

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